The faction headed by Pandithurai Thevar, the president of the company, was determined to continue the company while the other faction, headed by A. Sundara Sastri (with K.R. Guruswami Aiyar driving from the backseat), did not have the courage to put up a fight against a BI backed openly by the government. Perhaps Pandithurai Thevar did not want shareholders from other regions who may have been inclined to soft-pedal on the question of patriotic politics to participate.[22] Pandithurai Thevar, C. Vijayaraghavachari, Swaminatha Moopanar of Kapisthalam and Thambeyah Mudaliar of Colombo (probably the Colombo Agent, C. Thumbayya) discussed the status of the company in the changed circumstances. Despite the various hazards confronting the company, these directors resolved to soldier on,[23] though the district superintendent of police speculated that liquidation of the company was indeed discussed.[24]

Finally, after months of disruption, numerous postponements and much wrangling, the annual shareholders' meeting took place a week later, on 3 July, at Tuticorin.[25] After the statutory requirement of passing the annual report, accounts and balance sheet was met, the future of the company was discussed, and many proposals were put up. These included the purchase of another steam launch; doubling the authorized share capital; hiking the salary of *Lawoe*'s captain and 'facilities for removing coal in boats from steamers'.[26] Apart from increasing the authorized capital from Rs 10 lakh to Rs 20 lakh, the company decided to issue 300 debenture bonds of Rs 1,000 each, repayable after five years with a half-yearly interest of 6 per cent.[27]

The increase in authorized capital had been made as barely 7,000 shares remained to be subscribed to. The company owed more than Rs 2,70,000 and had a declared loss of more than Rs 2 lakh (See Table 9.1 for the balance sheet).

The annual report, signed by A.M.M. Arunachalam Pillai, A. Sundara Sastri, S.S.V. Krishna Pillai, S.T.A. Arumugam Pillai and V.A.V.S. Venkatachalam Chettiar, described the state of the company as the directors wanted to present it to the public. The report is marked by cautious optimism though the caution is more pronounced than the optimism. The